

RFI ARTIFICIAL INTELLIGENCE ACTION PLAN

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MANAGING THE LABOR TRANSITION TO POST AGI ECONOMICS

This document assumes that Artificial Intelligence systems will reach at some point over the next 5 years a certain threshold qualified as Radical Transformative AI (RTAI), Powerful AI (per Anthropic's Amodei) or AGI. It contains no critical discussion of the "threshold" AI concept itself.

I. Government, Technologies, and Technological Transitions

The remarkable success of generative AI and the rapid acceleration toward artificial general intelligence (AGI) have fueled debates on their profound economic and societal impacts. Unlike previous technological revolutions, AGI will introduce a fundamental restructuring of labor markets, corporate power, and the role of the Government.

History provides valuable lessons: technological progress often results in creative destruction, displacing established industries while giving rise to new sectors. However, **the scale and speed of AGI deployment demand a more proactive approach than historical laissez-faire adaptations**. Policymakers must anticipate **structural economic transformations**, ensure the continuity of innovation, and safeguard **societal cohesion** while maintaining economic dynamism.

Key considerations include:

- **Historical precedents:** From the Industrial Revolution to the Information Age, technological transitions have been accompanied by new opportunities, but also labor displacement, social unrest, and new economic paradigms. The shift toward post-labor economics will likely follow a similar trajectory but on an **exponentially accelerated timeline**.
- **Government's role in economic transitions:** While market mechanisms efficiently allocate resources, periods of intense technological shifts require **public-private coordination** to mitigate social and economic dislocations.
- **Corporate concentration and market structure:** Unlike previous revolutions, AI and AGI development is **highly concentrated within a few firms**, raising concerns about economic centralization, monopolistic power, and systemic risks.
- **Education and workforce preparation:** **Current educational paradigms** remain largely structured around industrial-era employment models. The transition to post-AGI

economics requires a radical overhaul of workforce development and lifelong learning systems.

II. Phases of Tech-Driven Economic and Labor Transitions

Economic transitions driven by automation and technological changes such as General Purpose Technologies (“platform” technologies for a new industrial revolution, such as in the past the steam engine, electricity and integrated circuits) follow **predictable phases of social and economic adaptation. The consensus among economists is that these phases will be similar for AI, only occurring much faster as we present in this timeline:**

1. Displacement and Shock (Short-Term, 0-1.5 Years)

- Rapid automation of knowledge work and routine non-physical tasks (deep research agents, operators).
- Existential questioning among mid-skill workers and white-collar professionals.
- Increased corporate profits and declining labor income share.
- Psychological resistance and denial among affected workers.

2. Reconfiguration (Mid-Term, 2-3 Years)

- Labor markets begin rapidly adjusting after the announcement of RTAI.
- Corporations struggle with the new **narrative control** over automation’s impact.
- Public skepticism toward AGI-driven economic models increases.
- Geopolitical realignments emerge as nations adapt at different paces.

3. New Economic Structures (3-4 Years)

- **Emergence of new economic paradigms** beyond traditional employment structures.
- Increased economic agency through **personalized knowledge production (i.e content economy and AI-driven entrepreneurship)**.
- Governments gradually shift from traditional wage-based taxation to alternative fiscal mechanisms.
- Social redefinition of work and value in the longer term.

III. Recommendations and Narratives for the Government

In navigating this transition, **governments must assume a proactive role** in structuring policy and fostering innovation, avoiding a purely reactionary stance. The following recommendations outline a structured response framework:

1. Institutional Adaptation and Economic Policy Reforms

- **Ending Taxation of Labor and taxing AI Productivity Gains:** Current tax systems are based on labor income. Shifting towards a taxation model that **captures value from AI-driven economic activity** will be necessary (tariffs, digital transactions tax, AI agents ownership fees).
- **Creating New Economic Safety Nets:** Rather than universal cash transfers, structured **AI-driven social services** (e.g., **automated skill-matching, adaptive learning**

programs, and personalized economic opportunities) should be developed. We need to establish a real-time, nation-wide economic database of workers occupations, in order to provide rapid upskilling and match workers with corporations needs and training solutions.

- **Regulatory Guardrails for AI-driven Consolidation:** Address monopolization concerns by promoting AI decentralization and preventing extreme economic concentration.

2. Workforce Development for an AI-Dominated Economy

- **Personalized and Continuous Education Models:** Traditional schooling must evolve into **adaptive, AI-driven educational ecosystems** tailored to individual cognitive and technical skills. Universities should all be mandated to have extension schools and we should stop all incentives that currently encourage students to spend several years dedicated to their initial education.
- **Incentivizing Human-AI Collaboration:** Rather than merely replacing workers, policies should incentivize businesses to integrate AI in ways that enhance human productivity.
- **Work Beyond Traditional Employment:** Future economic participation will depend on fostering **entrepreneurial mindsets and alternative economic structures** rather than merely preserving outdated job categories. We should provide new incentives to LLC owners, securities owners and token owners and other venues to create wealth and revenues beyond labor.

3. Rethinking Economic Agency

- **Cultural and Narrative Framing:** The transition must be framed not as job transition, but as a shift toward economic empowerment, creativity, and personal fulfillment.
- **Democratizing AI Ownership:** Broad-based participation in AI-driven wealth creation must be prioritized over mere redistribution, by promoting the use of tokens and digital assets related to AI agents and the future AI-driven economy.

Conclusion

The transition to post-AGI economics presents **both existential risks and unprecedented opportunities**. Governments cannot afford to adopt a passive stance. **The policies enacted today will shape the trajectory of AI-driven economic transformation for decades**. By focusing on **institutional resilience, economic reconfiguration, and proactive technological governance**, we can ensure a future where AGI augments human potential rather than rendering it obsolete.

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